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SOP-03: ACCOUNTING DESK

Zarewa Aluminium and Plastics Ltd — System of Operations v3.0

Department: Finance — Accounting Desk

System modules: /accounting, /accounts (accountant tabs), /reports

Primary role: finance_manager (Accountant / Head of Accounts)

Supporting roles: md, admin

1. PURPOSE AND SCOPE

The Accounting Desk is Zarewa's financial control centre. It manages the General Ledger, bank reconciliation, accounts payable and receivable sub-ledgers, fixed assets, accounting period locks, and the three-phase accounting policy engine (AP1c, AP2, AP3). This SOP covers month-end close, GL operations, and management reporting.

Segregation: Accountants reconcile and journal; Cashiers receive and pay. Accountants hold finance.cross_branch_post for controlled cross-branch ledger entries.

2. ACCOUNTING DESK NAVIGATION

Route: /accounting

Zones: Home · Close · Reports · Registers · Policy · Operations

Tab

Overview

Opening Pack

Month-end close

Reconciliation

Statements / GL

Creditors / Debtors / Assets

Inter-branch

Deposit policy (AP1c)

Supplier AP (AP2)

Production costing (AP3)

Branch P&L

Credit approval
Payroll

3. GENERAL LEDGER STRUCTURE

3.1 Chart of Accounts (Key Codes)

Code	Account	Type
1000	Cash / Bank	Asset
1200	Staff Loans Receivable	Asset
1300	Inventory / Closing Stock	Asset
1500–1504	Fixed Assets (Plant, Land, Furniture, Generator)	Fixed Asset
2000	Accounts Payable — Suppliers	Liability
2400	Pension Payable	Liability
2500	Customer Advances / Refunds Payable	Liability
3200	Chairman Withdrawal (Equity Draw)	Equity
4000	Sales Revenue	Income
5010–5050	COGS (Fuel, Maintenance, Corrugation, Production, Purchases)	COGS
6000–6400	Operating Expenses	OpEx
6100	Depreciation	OpEx

3.2 Expense Category → GL Mapping

Category	GL	Notes
Wages	6000	Direct production wages
Fuel & lubricant	5010	
Maintenance	5020	
Outside corrugation	5030	
Production cost / Accessories	5040	
Purchases / Carriage inward	5050	
Admin / Office / HQ / Welfare / Security / Others	6120	Others requires 40-char justification
Admin salary	6110	
Pension	2400	Liability — not expense
Staff loan	1200	Asset — not expense

Chairman withdrawal	3200	Equity draw — not expense
Capex categories	1500–1504	Auto-registers fixed asset on full payment

3.3 “Others” Expense Controls

Control

Minimum justification

Finance review flag

AP3 unclassified alert

Branch coaching alert

4. ACCOUNTING PHASES (AP1c → AP2 → AP3)

4.1 AP1c — Production Recognition

Policy V1: Revenue recognised at **production completion**, not delivery or invoice date.

On production job completion, system auto-posts: - Dr Accounts Receivable (customer ledger) - Cr Sales Revenue (4000)

On receipt clearance: - Dr Cash/Bank (1000) - Cr Accounts Receivable

Dry-run: Accounting desk → AP1c → run dry-run before go-live.

4.2 AP2 — Received-Basis AP + Inventory

- Payables recognised at **GRN** (not payment date)
- Inventory valued at **landed cost** (including carriage inward)
- Supplier advances tracked; applied on GRN
- Diagnostics: /accounting → AP2 → supplier advance report

4.3 AP3 — Branch P&L + Material Costing

- Standard vs actual material cost per production job
- Payroll labour allocated per job
- Branch P&L draft report
- Costing readiness check before relying on branch margin reports

Migration rule: AP3 requires AP2 requires AP1c. Coordinate with MD before phase activation.

5. BANK RECONCILIATION

5.1 Procedure

1. **Accounting** → Reconciliation tab (or /accounts/bank-reconciliation redirect).
2. Import bank statement:
 - **CSV:** bankDateISO,description,amountNgn with optional header
 - **JSON:** up to 500 lines per batch via POST /api/bank-reconciliation/import
3. System fingerprints lines (bankReconFingerprint.js) to detect duplicates.
4. Match each line to:
 - Customer receipts (cleared)
 - Expense payments
 - Supplier payments
 - Inter-branch transfers
5. Mark unmatched lines as **Review** for investigation.
6. Weekly: Finance lead reviews all Review lines.
7. Month-end: zero unmatched lines or documented carry-forward.

5.2 Control Tie-Out

Run control tie-out report: GL cash balance must equal reconciled bank balance.
Discrepancies block period lock.

6. PAYABLES RECONCILIATION

Three-way match (month-end):

Leg

Ordered

Received

Paid

1. Run purchase register report (by received date).
 2. Compare AP2 supplier diagnostics for unmatched advances.
 3. Resolve short receipts with Procurement (MD notified on coil shorts).
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7. RECEIVABLES AND WRITE-OFFS

7.1 Debtors Register

Accounting desk → Creditors/Debtors → Debtors (AR) sub-ledger.

Review aging: outstanding balances, days overdue.

7.2 Write-Off Policy

Receivable write-offs above configured threshold require MD approval (receivableWriteOffPolicy.js).

Procedure: 1. Document customer insolvency, legal pursuit exhaustion, or board decision. 2. MD approves write-off on quotation/customer record. 3. Post adjusting journal or use register settlement workflow. 4. Audit trail mandatory.

8. FIXED ASSETS AND DEPRECIATION

8.1 Asset Creation

- **Manual:** Finance creates in Accounting → Assets
 - **Automatic:** Capex expense fully paid → fixedAssetAutomationOps.js registers asset Category
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Plant & machinery

Land & buildings

Furniture & fittings

Generator

8.2 Depreciation Run

Monthly (month-end): 1. Run depreciation via depreciationRunOps.js 2. Posts: Dr Depreciation (6100), Cr Accumulated Depreciation 3. Verify in trial balance before period lock

8.3 Disposal

1. Finance initiates disposal with sale/scrap value
 2. GL: Dr Accumulated Depreciation + Dr Cash, Cr Asset Cost, Cr/Dr Gain/Loss
 3. Asset removed from active register
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9. INTER-BRANCH LOANS

Cross-branch cash funding recorded as inter-branch loans (not expense):

1. Finance proposes loan: lending branch → borrowing branch
 2. MD approves (inter_branch_loan.md_approve)
 3. Status: proposed → md_approved → executed
 4. Repayments tracked until settlement
 5. Both branches see loan on treasury reports
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10. REGISTER SETTLEMENTS

Creditor/debtor register lines follow: propose → review → decision → pay

1. Open register line in Accounting desk
 2. Propose settlement amount and method
 3. Reviewer confirms
 4. Finance executes payment
 5. Each step tracked in accounting_register_settlements
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11. PAYROLL FINANCE HANDOFF

After HR payroll chain complete:

1. Verify payroll run **locked** with MD approval (md_approved_at_iso recorded)
2. **Accounting** – Payroll tab
3. Export bulk bank file (hr.payroll.export)
4. Execute bank transfers
5. Post treasury movements
6. GL journal CSV: salary expense, PAYE, pension, net pay

Gate: Payroll cannot lock without GM HR **or** MD approval; cannot pay without lock.

12. MONTH-END CLOSE CHECKLIST

Step

- 1
- 2
- 3
- 4
- 5
- 6
- 7
- 8
- 9

Period lock: assertPeriodOpen() blocks all back-dated posts to locked YYYY-MM.

13. MANAGEMENT REPORTS

Route: /reports (requires reports.view)

Report

Receipts register

AR as-at

Sales bridge

Expenses pack

Refunds pack

Purchase register

Stock coil as-at

Governance pack

MD operations pack

Daily / weekly pack

14. RECEIPT CORRECTIONS (FINANCE AUTHORITY)

1. Identify error from exception queue
2. Gather bank/cash evidence
3. **Reverse** mistaken posting — POST /api/ledger/reverse-receipt
4. Verify treasury net corrected
5. **Re-post** true amount only
6. Confirm quotation paidNgn syncs via syncQuotationPaidFromReceipts
7. Close queue item with audit note

Split correction: POST /api/ledger/correct-receipt-split for allocation errors.

15. DAILY / WEEKLY CADENCE

Daily: Clear payment exception queue; review new uncleared receipts aging >24h.

Weekly: Bank reconciliation Review lines; aged exception report (>7 days) to Finance lead.

Monthly: Full close checklist \$12.

End of SOP-03. Cross-references: SOP-02 (Cashier), SOP-06 (Procurement AP), SOP-07 (Payroll).